

A cliff ahead: at \$51,000 net drops \$956. Below it, more pay is more money.

Net, after premiums	Largest single-step drop	Reach at current earnings
\$42,521	\$5,084	39th
at \$30,000 earned	at \$106,000 → \$107,000	percentile, ±\$2,200 (n = 2228)

Model coverage in Texas

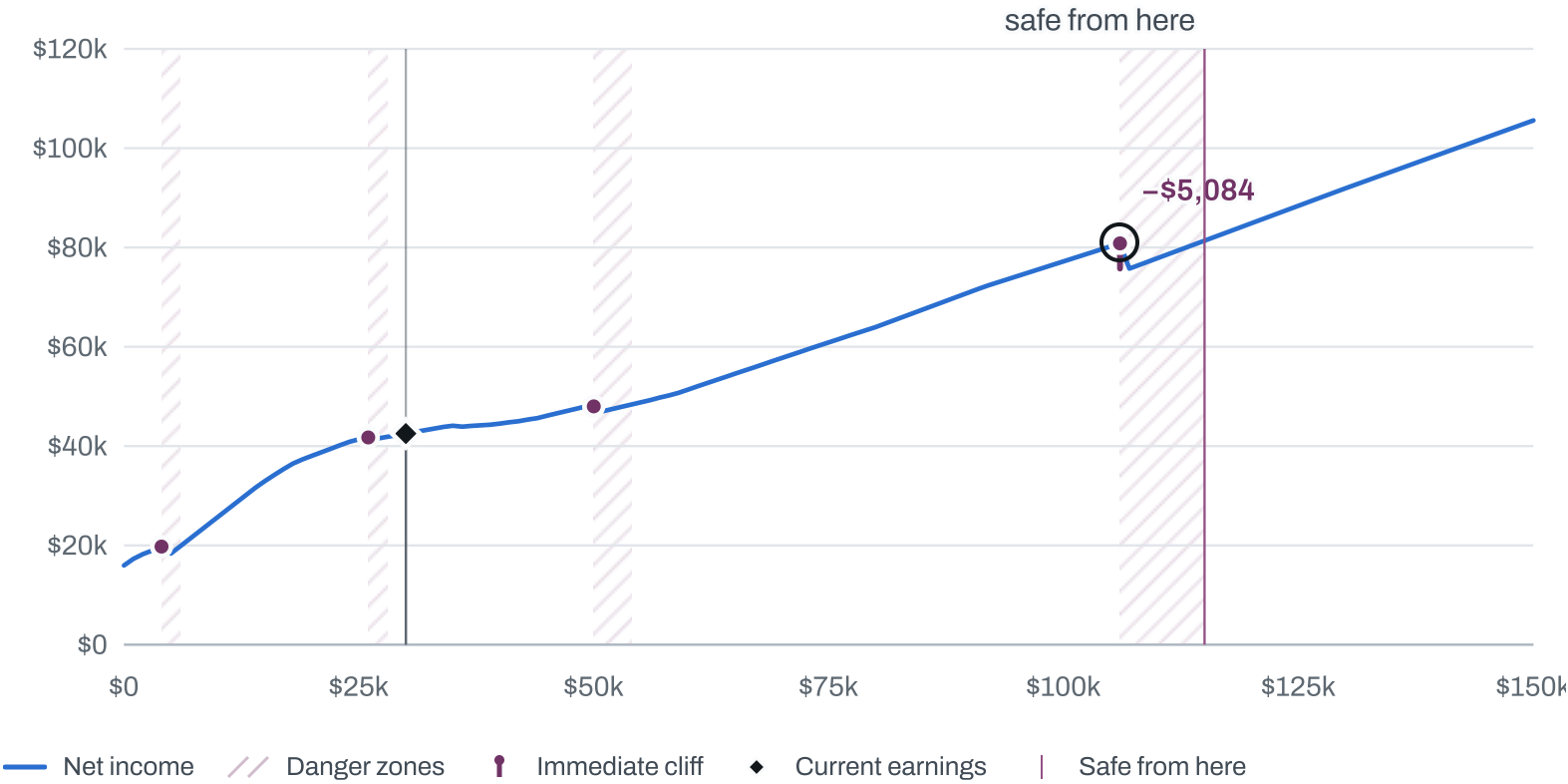
Figures complete for Texas. Nothing this household would hold is unmodelled here.

Corrections applied in Texas

Medicaid — parent income limit	overridden	HotGap sends the state's own published parent Medicaid income limit for this household's size, as a share of the 2026 poverty line including the MAGI disregard, because PolicyEngine's figure is five years out of date (policyengine-us #9474; fixed upstream in PR #9475). source
CCDF child care subsidy	added by HotGap	PolicyEngine computes the child-care subsidy but leaves it out of net income here, so HotGap adds it back, until the engine's own fix (policyengine-us #9405, PR #9503) reaches this endpoint.
Premium tax credit — coverage gap		In this non-expansion state an adult with no Medicaid and no premium credit below 100% of the poverty line is charged no marketplace premium, and the point is flagged, because PolicyEngine bills the full premium to someone the marketplace would not enrol (policyengine-us #9472).

Checked and not applying here — TAFDC: Massachusetts only; PolicyEngine's TANF stands as served. State premium help: No state premium help applies: PolicyEngine serves none for this state, and HotGap knows of no program to add. LIHEAP energy assistance: HotGap shows where energy assistance (LIHEAP) stops in this state — 150% of the poverty guideline — and what the state pays at that top band, but counts the money only for a household that says it gets it, because the program is a block grant that served about 3% of its income-eligible households in FY2024, so a curve that assumed it would draw a benefit most eligible families never receive.

Net income after premiums, \$0–\$150,000 of earnings



The y-axis starts at \$0; the visible range is 23.6× the largest drop. No cliff on this curve is deferred. Estimates only — a caseworker decides real benefits. Rules: 2026. Curve: live PolicyEngine call for this household. Rent: HUD Office of Policy Development and Research, Fair Market Rents FY2026 revised schedule (effective 2025-10-01) Child-care price: county 2018, carried to 2026 dollars by the BLS Employment Cost Index. Reach: ACS 2024 1-Year PUMS (and the 2020-2024 5-Year PUMS for small-state cells the 1-Year cannot support), householder + spouse earnings, adjusted to 2024 dollars by each record's ADJINC and to 2026 dollars by the BLS ECI. Vintages used: ACS 2024 1-year PUMS. Model: policyengine-us 2.6.2.

Every step down

Earnings	Drop	Programs lost	Driver
\$4,000 → \$5,000	-\$1,395	Medicaid, TANF cash assistance	benefits
\$26,000 → \$27,000	-\$214	none named	premiums
\$50,000 → \$51,000	-\$956	WIC, School meals	benefits
\$106,000 → \$107,000	-\$5,084	Premium tax credit	premiums

Where the \$5,084 went — \$106,000 to \$107,000			
	offsets the loss	adds to the loss	
Benefits			+\$0
Credits			+\$0
Premiums			+\$5,788

Other		-\$704
Sums to \$5,084, the drop. Driver: premiums.		
The four shares sum to the drop exactly. A share right of zero adds to the loss; one left of it offsets the loss — here, a falling tax bill. Medicaid and CHIP never appear: their value is a coverage sticker price, never cash, so it cannot move net income. A child losing coverage shows in programs lost instead.		

Where each program ends

A program ends at the first pay at which it is gone. Adults and children are reported separately — a parent usually loses coverage far below a child’s limit.

Earnings	Program	Who
\$5,000	Medicaid Coverage ends with the raise (no deferral applies).	Adult
\$5,000	TANF cash assistance	Household
\$39,975	LIHEAP energy assistance if you apply Above this the household can no longer apply: the state's limit is 150% of the poverty guideline. Worth \$1,200 at that band if received. 3% of income-eligible households were served in FY2024. Not in net income unless the household says it gets it. Read 2026-09-16.	Household
\$41,000	Medicaid Deferred The children move to CHIP: \$2,913 a year of coverage from \$41,000. Crossing this does not end it this year: the loss lands at the child's next yearly renewal, up to 12 months away (42 CFR 435.926, 457.342).	Children
\$43,000	SNAP	Household
\$51,000	School meals	Household
\$51,000	WIC	Children
\$57,000	CHIP Deferred The premium tax credit rises \$9,251 as it ends. Crossing this does not end it this year: the loss lands at the child's next yearly renewal, up to 12 months away (42 CFR 435.926, 457.342).	Children
\$59,000	Earned Income Tax Credit (EITC) Phases out; no step of \$200 or more, so it is not a cliff.	Household
\$107,000	Premium tax credit Net premium rises \$5,788 in one step.	Household

The last cash benefit ends at \$107,000. Child coverage ends at \$57,000, deferred. Coverage gap band applies: In this non-expansion state an adult with no Medicaid and no premium credit below 100% of the poverty line is charged no marketplace premium, and the point is flagged, because

PolicyEngine bills the full premium to someone the marketplace would not enrol (policyengine-us #9472). No state premium help applies.

Compare

The same rules asked of each what-if.

	Now 1 adult, \$30,000
Net after premiums	\$42,521
Change from now	—
In a danger zone	No
Zone ends at	—
Raise still needed	—
Safe from	\$115,000
Largest drop	\$5,084
Adult Medicaid ends	\$5,000
Child coverage ends	\$57,000
Reach at these earnings	39th

Reach is the share of households of the same shape in Texas earning at or below this figure — it says how common the pay is, never the odds of getting there.

What this model does not include

- Health cost is premiums only — no deductibles, copays or other out-of-pocket spending.
- Assumed for this curve: a citizen, no savings, wages, not self-employment, no employer coverage, and no other income; aged 30.
- Take-up assumed for SNAP, TANF cash assistance, Medicaid, and WIC; not for CCDF child care subsidy, Head Start, Housing voucher, and LIHEAP energy assistance.
- Annualised current-rule scenarios, not prorated calendar-year benefit totals.
- Energy assistance (LIHEAP) in Texas: HotGap shows where energy assistance (LIHEAP) stops in this state — 150% of the poverty guideline — and what the state pays at that top band, but counts the money only for a household that says it gets it, because the program is a block grant that served about 3% of its income-eligible households in FY2024, so a curve that assumed it would draw a benefit most eligible families never receive.

Estimates only — a caseworker decides real benefits. Rules: 2026. Curve:
live PolicyEngine call for this household. Rent: HUD Office of Policy
Development and Research, Fair Market Rents FY2026 revised schedule
(effective 2025-10-01) Child-care price: county 2018, carried to 2026
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cannot support), householder + spouse earnings, adjusted to 2024 dollars
by each record's ADJINC and to 2026 dollars by the BLS ECI. Vintages
used: ACS 2024 1-year PUMS. Model: policyengine-us 2.6.2.

Your pay and your help — Texas, one parent, two children

You are paid \$30,000 a year. You keep about \$42,500 a year.

Near \$51,000 a year, more pay can mean less money: past it you would keep about \$956 less a year. People call this a benefits cliff.

The biggest drop is at \$107,000 of pay: help paying for health insurance ends and you keep \$5,084 less. Food help ends at \$43,000.

Your kids' health plan ends at \$57,000 of pay — but not that year. It ends at their next yearly check, up to 12 months later.

These are estimates. A case worker decides real help.

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